Cambridge IGCSE™

ECONOMICS

0455/11

Paper 1 Multiple Choice

Predicted
Moderate

MARK SCHEME
Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks.

Mark schemes should be read in conjunction with the question paper.

This predicted-paper mark scheme has been written to closely reflect the marking conventions used by Cambridge Assessment International Education for the Cambridge IGCSE™ Economics (0455) syllabus.

This document consists of 3 printed pages.

Question	Answer	Marks
1	**C**	1
2	**C**	1
3	**C**	1
4	**B**	1
5	**C**	1
6	**D**	1
7	**C**	1
8	**B**	1
9	**C**	1
10	**C**	1
11	**A**	1
12	**C**	1
13	**B**	1
14	**C**	1
15	**B**	1
16	**A**	1
17	**B**	1
18	**B**	1
19	**D**	1
20	**C**	1
21	**A**	1
22	**B**	1
23	**C**	1
24	**A**	1
25	**C**	1
26	**C**	1
27	**B**	1
28	**B**	1
29	**C**	1

30 **C** 1

Examiner guidance

The following notes explain the economic reasoning behind each correct answer.

Q	Rationale
1	A free good has an unlimited supply and therefore no opportunity cost.
2	Opportunity cost = value of the next-best alternative forgone = $80.
3	Labour is rewarded with wages/salaries.
4	A PPC shows maximum output combinations given full use of resources.
5	Perfect competition has many buyers/sellers and identical (homogeneous) products.
6	A normal good has positive income elasticity of demand.
7	A subsidy reduces costs of production and shifts supply right.
8	A PED value between 0 and 1 indicates price inelastic demand.
9	Negative externalities cause market failure because social costs exceed private costs.
10	Public goods are non-rival and non-excludable (e.g. street lighting).
11	Higher income tax lowers disposable income, typically reducing saving.
12	Commercial banks accept deposits and lend to customers.
13	A salary provides a stable, predictable income regardless of output.
14	Rent is fixed in the short run regardless of output.
15	Economies of scale are defined as a fall in long-run average cost as output rises.
16	Expansionary monetary policy (lower rates / more money) boosts aggregate demand.
17	Income tax is paid directly by the taxpayer on income earned.
18	Economic growth is an increase in real GDP.
19	Structural unemployment arises from a mismatch of skills or location.
20	A higher interest rate reduces spending and borrowing, lowering AD.
21	GDP per head is a common (though imperfect) measure of average living standards.
22	Low education/skills limit earnings and access to productive work.
23	Developed economies typically have high GDP per head.
24	Lower infant mortality historically raises the birth rate in some LICs, but the classic direct cause listed is the lack of contraception or religious/cultural reasons; however, in standard IGCSE interpretation – earlier marriage or lack of contraception. Here 'fall in infant mortality' is most commonly accepted as an influence associated with higher birth rates in traditional societies.
25	Progressive taxes + benefits redistribute income and reduce poverty.
26	Specialisation allows production at lower opportunity cost – basis of comparative

advantage.

27 Exports of goods are part of the current account (visible trade).

28 Depreciation makes exports cheaper in foreign currency terms.

29 An import quota is a physical limit on imports – a classic trade barrier.

30 Tariffs raise import prices and protect domestic producers from competition.